

Minnesota Regulatory Requirements for Construction Businesses

Business Registration & Licensing

Business Entity Formation

- **LLC Registration:** File Articles of Organization with MN Secretary of State
 - Fee: \$135 (online), \$155 (paper)
 - Processing: 3-5 business days
 - Registered agent required if not resident of MN
- **Federal EIN:** Obtain from IRS (free)
 - Required for tax purposes and business banking
 - Can be obtained online instantly

Construction-Specific Licensing

Minnesota Department of Labor and Industry (DLI)

- **Contractor License:** Required for projects over \$1,000 (labor + materials combined)
 - Types:
 - * Residential Building Contractor
 - * Commercial Building Contractor
 - * Specialty Contractor (electrical, plumbing, HVAC, etc.)
 - **Application Fee:** \$100
 - **License Fee:** \$200 annually
 - **Renewal:** By December 31st each year

License Requirements:

- **Experience:** Minimum 4 years of relevant experience
- **Examination:** Pass business/law exam and trade exam
- **Insurance:** Required worker's compensation and liability insurance
- **Bonding:** May require surety bond depending on license type

Estimating Services Specifics

- **Estimators:** Generally don't need separate license if working under licensed contractor
- **Independent Estimating:** May operate as consulting service without construction license
- **Plan Review:** No specific license required for plan review/estimating if not bidding on projects

Insurance Requirements

Worker's Compensation Insurance

- **Required:** If you have employees (including yourself if you elect coverage)
- **Exception:** Sole proprietors can opt out but must file waiver
- **Provider:** Through private insurer or state fund (MPCAIF)

General Liability Insurance

- **Requirement:** Not legally mandated but highly recommended
- **Coverage:** Typically \$1M-\$2M minimum for construction businesses
- **Cost:** \$800-\$2,000 annually for small business

Professional Liability Insurance

- **Recommendation:** Critical for estimating services
- **Coverage:** Protects against errors in estimates that cause client losses
- **Cost:** \$1,000-\$3,000 annually depending on coverage amount

Bonding Requirements

- **Performance Bonds:** Required for certain public projects
- **Payment Bonds:** Ensures subcontractors/material suppliers get paid
- **Bid Bonds:** Guarantees contractor will enter contract if awarded
- **Contractor License Bond:** May be required upon license approval

Tax Obligations

State Taxes

- **MN Corporate Income Tax:** 9.8% for corporations, varies for other entities
- **Sales Tax:** 6.875% state rate plus local taxes (total 7.025%-8.375% in Minneapolis)
 - Applies to construction services in most municipalities
 - Some materials may be exempt if incorporated into real property

Federal Tax Considerations

- **Self-Employment Tax:** Applies to business income for sole proprietors/LLC members
- **Quarterly Estimated Payments:** Required if owing >\$1,000 in taxes
- **1099 Requirements:** Issue to vendors/contractors receiving >\$600 annually

Labor Laws & Regulations

Prevailing Wage

- **MN Little Davis-Bacon Act:** Applies to public works projects
- **Requirements:** Pay prevailing wage rates to workers on public projects
- **Rates:** Determined by MN Department of Labor and Industry

Wage and Hour Laws

- **Minimum Wage:** \$10.33/hour (2023), increasing annually
- **Construction Industry:** Higher rates may apply under special provisions
- **Overtime:** Time and a half for hours over 48 in a workweek (not 40 for construction)

Safety Regulations (OSHA)

- **Federal OSHA:** Governs workplace safety standards
- **MN-OSHA:** State plan with same standards as federal
- **Requirements:** Safety training, hazard communication, recordkeeping

Permits & Zoning

Business License

- **City of Minneapolis:** Business license required for all businesses
 - Fee: \$85 for businesses with < \$50,000 revenue
 - Renewal: Annually

Home Occupation Permit

- **If operating from residence:** May need home occupation permit
- **Requirements:** Meet zoning requirements, parking restrictions, etc.
- **Fee:** \$112 (as of 2023)

Financial Regulations

Lien Rights & Responsibilities

- **Mechanic's Lien:** Right to lien property for unpaid work
- **Notice Requirements:** Must provide preliminary notice to preserve lien rights
- **Timeline:** Liens must be filed within 120 days of last work

Contract Requirements

- **Written Contracts:** Required for projects > \$1,000
- **Contract Terms:** Must include specific legal disclosures
- **Change Orders:** Written approval required for modifications

Environmental Regulations

Storm Water Management

- **MS4 Permit:** May be required for construction sites disturbing >1 acre
- **Erosion Control:** Required for sites disturbing soil

Hazardous Materials

- **Lead Paint:** Special handling requirements for pre-1978 structures
- **Asbestos:** Special licensing for removal work
- **Mold Remediation:** Specific licensing requirements

Professional Certifications (Optional but Beneficial)

Industry Certifications

- **NECA/IBEC Estimator Certification:** National certification for electrical estimators
- **ABC Certified Professional Estimator:** Associated Builders and Contractors
- **SMACNA certifications:** For sheet metal contractors

Continuing Education

- **License Renewal:** May require continuing education credits
- **Professional Development:** Recommended for staying current with industry changes

Minnesota-Specific Construction Laws

Prompt Payment

- **Requirements:** Payments due within 30 days of proper invoice
- **Penalties:** 1% per month interest on late payments
- **Retention Limits:** Maximum 10% retention allowed

Warranty Requirements

- **Implied Warranties:** Work must be fit for ordinary purpose
- **Express Warranties:** As specified in contracts
- **Statute of Limitations:** Generally 6 years for written contracts

Compliance Checklist for JAM Construction

Before Starting Operations:

- ☐ Form business entity (LLC)
- ☐ Obtain Federal EIN

- ☐ Register for state taxes (MN DOR)
- ☐ Obtain city business license (Minneapolis)
- ☐ Secure general liability insurance
- ☐ Consider professional liability insurance
- ☐ Set up business banking account
- ☐ Establish accounting system

Before Taking Projects:

- ☐ Determine if contractor license is needed based on services
- ☐ Obtain any required permits for business location
- ☐ Understand sales tax obligations
- ☐ Establish contract templates with required legal language
- ☐ Set up accounting for tracking project costs
- ☐ Understand lien and notice requirements

Ongoing Compliance:

- ☐ File required tax returns (federal and state)
- ☐ Maintain insurance coverage
- ☐ Renew licenses and permits as required
- ☐ Maintain records for audit purposes
- ☐ Comply with safety regulations
- ☐ Properly classify workers (employee vs. independent contractor)

Resources for Staying Compliant

Government Agencies

- **MN Department of Labor and Industry:** (651) 284-5005
- **MN Secretary of State:** (651) 296-2800
- **MN Department of Revenue:** (651) 296-6181
- **City of Minneapolis Business Licensing:** (612) 673-3737

Industry Associations

- **Associated General Contractors of Minnesota**
- **Minnesota Chamber of Commerce**
- **Construction Specifications Institute (CSI) - Minnesota**

This regulatory framework ensures that JAM Construction operates within all applicable laws while protecting the business and its clients.